3.5.3 External sources of finance

Unit 3.5 Financial management · 9 key points

- **Sources named by AQA:** debt factoring, overdrafts, retained profit, share capital, loans, venture capital, crowdfunding
- **Short-term:** overdrafts, debt factoring
- **Long-term:** loans, share capital, venture capital, crowdfunding
- **Overdraft:** flexible borrowing up to a limit; high interest
- **Debt factoring:** selling receivables to a factor for immediate cash, minus a fee
- **Loan:** fixed sum repaid with interest over time
- **Share capital:** no repayment or interest but dilutes ownership
- **Venture capital:** investment in a risky, young business for a share of ownership
- **Crowdfunding:** raising small amounts from many people, usually online